In the

Supreme Court of the United States

March Term, 2019

IN RE BACKSTREETS PLOWING, INC., DEBTOR,
STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT.

ON WRIT OF CERTIORARI TO THE SUPREME COURT OF THE UNITED STATES

BRIEF FOR RESPONDENT

TEAM R. 60
Counsel for Respondent

QUESTIONS PRESENTED

1. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date.
2. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code.

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OPINIONS BELOW

The United States Bankruptcy Court for the District of Moot and the Bankruptcy Appellate Panel for the Thirteenth Circuit answered both questions in favor of Weinberg, concluding that: (i) his retention of snow plow trucks that he legally repossessed prior to the bankruptcy filing, each of which constituted collateral for a loan made to the Debtor, did not violate section 362(a)(3), and (ii) he was entitled to a substantial contribution administrative expense under section 503(b), notwithstanding section 503(b)(3)(D). The United States Court of Appeals for the Thirteenth Circuit affirmed these decisions.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The relevant statutory provisions involved in this case are listed below.

11 U.S.C § 102(3) (2016).

11 U.S.C § 503(b) (2016).

11 U.S.C § 301 (2016).

11 U.S.C § 302 (2016).

11 U.S.C § 303 (2016).

11 U.S.C. § 362(a)(3) (2016).

11 U.S.C. § 541 (2016).

11 U.S.C § 542(a) (2016).

STATEMENT OF THE CASE

The Debtor owned and operated a seasonal snow plow business. T. pp. 3. In the Spring of 2015, the Debtor's only shareholder, Christopher Clemons (Clemons), realized that he needed to purchase newer snow plow trucks. T. pp. 3. The Debtor would avoid substantial costs that happens every winter when he has to fix or repair the older trucks. T. pp. 3. By purchasing the new trucks, the Debtor was allowed to compete for a valuable plowing contract with the City of Badlands. T. pp. 3-4. Because Clemons did not have the money to purchase the new plows, he approached Weinberg, a friend he met in a bowling club, about borrowing $450,000 so that the Debtor could purchase the new trucks. T. pp. 4. In order to secure the payment, the Debtor granted Weinberg a security interest in the trucks, and Clemons personally guaranteed the loan. T. pp. 4. According to the terms of the promissory note, the Debtor agreed to make monthly payments to Weinberg, with the payments starting once the plowing business started generating revenue in December 2015. T. pp. 4. After receiving the money from Weinberg, he purchased the trucks in August of 2015. T. pp. 4.

The Debtor competed with two other local competitors, Tenth Avenue Freeze, Inc. (Tenth Avenue" and Stone Pony Plowing, LLC (Stony Pony), in order to obtain bids for the plowing contract with the City of Badlands. T. pp. 4. The Debtor won the bidding contract for the city of Badlands. T. pp. 4. Shortly after the awarding of the plowing contract for the City of Badlands, Weinberg and Clemons had a falling out over a football game. T. pp. 4-5. The winter of 2015-2016 was mild in Badlands; however, it was profitable for the Debtor because they were paid at a flat rate. T. pp. 5. Because Clemons and Weinberg were not on speaking terms due to the falling out, Clemons did not make a loan payment in December of 2015. T. pp. 5. Weinberg later contacted Clemons because he did not receive the first few payments pursuant to the note

from him. T. pp. 5. Weinberg contacted him in February of 2016. T. pp. 6. After Clemons did not answer any phone calls from Weinberg, Weinberg peacefully drove to the Debtor's facility in late February 2016, in which another argument occurred. T. pp. 5. Clemons demanded that Weinberg leave at once and directed a group of Debtor's drivers to forcibly take him away from the facility. T. pp. 5. Weinberg informed Clemons that he needed to retain a lawyer, and later filed a suit on the promissory note in April 2016 in the State of Moot Circuit Court. T. pp. 5. In addition to filing a suit on the note, he sued Clemons on his personal guarantee. T. pp. 5. In October 2016, Weinberg received a default judgment against the Debtor and Clemons, jointly and severally, for $450,000 plus interests and fees. T. pp. 5.

The winter of 2016-2017 was harsh due to several Nor'easters. T. pp. 5. Because of the heavy snowfall, the Debtor's business experienced a substantial loss. T. pp. 5. The monthly payments that the Debtor received from the City of Badlands did not cover the amount needed to pay other expenses. T. pp. 6. Weinberg, then began to collect on the default judgment in January 2017. T. pp. 6. Weinberg employed a repossession company, E Street Auto Recovery, to retrieve the snow plow trucks. T. pp. 6. E Street peacefully repossessed the trucks from the Debtor's parking lot and brought it to Weinberg's warehouse in late January 2017. T. pp. 6. The trucks remain with Weinberg to this day. T. pp. 6. Because the trucks remained with Weinberg, the Debtor was unable to fulfill its plowing contract with the City of Badlands, who warned them about canceling the contract and suing for damages. T. pp. 6. Because the Debtor ran out of case, the Debtor filed a chapter 11 petition on February 4, 2017. After the petition was filed, the Debtor's attorneys sent Weinberg a letter demanding that the snow plow trucks be returned immediately. T. pp. 6. Weinberg testified before the bankruptcy court that he did not return the vehicles because the Debtor had the burden to bring a turnover action, in which case Weinberg

could demand adequate protection of his interest in the snow plow trucks. T. pp. 6. The Debtor never filed a turnover action, but filed a motion asking the bankruptcy court to determine that Weinberg's continued retention of the vehicles constitute a violation of the automatic stay under section 362(a)(3). T. pp. 6. The bankruptcy court found that Weinberg did not violate the stay, holding that mere retention of property lawfully repossessed prepetition is not an "act to...exercise control over property of the estate" within the scope of section 362(a)(3). T. pp. 6.

The Debtor appealed the bankruptcy court's ruling in March 2017. T. pp. 6. Shortly after the appeal, Clemons concluded that efforts to reorganize the Debtor would be futile because, among other reasons, Badlands stated that the would not be offering a new contract for the following year. T. pp. 7. Because the Debtor was out of cash, the Debtor voluntarily converted the chapter 11 case to a chapter 7 case. T. pp. 7. A trustee was appointed to handle the Debtor's bankruptcy estate and liquidate its property on April 13. 2017. T. pp. 7. After the conversion of the case, Weinberg decided to pursue collection efforts against Clemons on the judgment related to his personal guarantee. T. pp. 7. Weinberg employed a collection firm, who had a creditor's examination done of Clemons in May 2017. T. pp. 7. Through that examination, Weinberg discovered fraudulent transfers made by the Debtor to his daughter amounting to approximately $100,000. T. pp. 7. Weinberg voluntarily provided the Trustee with sufficient documentation and testimony to evidence that the transfers were avoidable. T. pp. 7. The Trustee filed a complaint against his daughter whereby a settlement was reached and the daughter agreed to pay $75,000 to the estate in satisfaction of all claims. T pp. 7. Weinberg had $25,000 in legal fees and costs and after the bankruptcy court approved the settlement, he filed a motion seeking an of a substantial contribution administrative expense pursuant to section 503(b). T. pp. 7. Trustee acknowledge the substantial contribution made by Weinberg, but opposed the motion. T. pp. 8. The

Bankruptcy court approved Weinberg's motion. T. pp. 8. Tenth Avenue offered to buy the Debtor's company; however, they needed the trucks from Weinberg. T. pp. 8. Weinberg refused to give the trucks over to the Trustee. T. pp. 8. Tenth Avenue withdrew its offer and Stony Pony offered to buy the Debtor's business. T. pp. 8-9. Although the bankruptcy court approved the sale, the trustee did not dismiss the appeals. T. pp. 9. The Trustee believes he will win the appeal on the stay action, and the the substantial contribution appeal. T. pp. 9. With the consent of both parties, the two appeals were consolidated before the bankruptcy appellate panel, and the appellate panel affirmed on both issues. T. pp. 9. The Trustee now appeals the action. T. pp. 9.

SUMMARY OF THE ARGUMENT

By applying the plain meaning of sections 362(a), 363(e), and 542(a), it first becomes clear that for an act to violate the automatic stay, something must be done to take the property of the estate or exercise control over property of the estate. Merely possessing property that has been obtained before the debtor filed a petition for bankruptcy does not violate the automatic stay. Second, section 542(a) does not provide a self-effectuating turnover action. When the Bankruptcy code is properly read as a whole, it is found that section 542(a) is subject to the provisions of section 363. More specifically, a turnover action under section 542(a), in most circumstances, requires the trustee or debtor-in-possession to get an order from the court.

Finally, there is an exception that allows a self-effectuating turnover action to occur while honoring the rules of statutory interpretation. This exception applies the statutory interpretation analysis as *Inslaw* does and applies the legislative intent and public policy *Whiting* protects. In applying to this case, a pure statutory interpretation analysis or by adopting the hybrid rule, Mr.

Weinberg did not violate the automatic stay. Because he did not violate the stay Mr. Weinberg respectfully asks that this Court affirm the decisions of the courts below.

Section 503(b) should not be construed strictly because it prohibits creditors like Weinberg from obtaining an administrative expense. Congress using the term "including" to allow Bankruptcy courts to award creditors to be granted an administrative expense for their substantial contribution. The Court should rely on principles of equity because creditors that benefit the estate under Chapter 7 cases should be awarded an administrative expenses if they substantially contributed to it. If the Court does not allow it, then it would be a great injustice for creditors like Weinberg. For the reasons stated above, this Court should affirm the decision below.

ARGUMENT

The facts of this case are not disputed. (R. at 3 n.2.) This appeal presents only questions of law, which are reviewed de novo. *In re Applied Theory Corp.*, 493 F.3d 82, 85 (2d Cir. 2007).

I. THE COURTS BELOW CORRECTLY FOUND THAT THE APPELLEE DID NOT VIOLATE THE AUTOMATIC STAY SET FOURTH IN SECTION 362(a)(3) OF THE BANKRUPTCY CODE.

A. Mr. Weinberg refusing to immediately turn over the trucks lawfully possessed does not violate the automatic stay of Section 362(a)(3).

Mr. Weinberg keeping the trucks he lawfully possessed does not violate the automatic stay created by section 362(a)(3) of the Bankruptcy Code. Keeping the trucks is not an act within the scope of section 362(a)(3), and thus Mr. Weinberg did not violate the automatic stay. To understand section 362(a)(3), first the statutory language must be evaluated. *Hughes Aircraft Co. v. Jacobson*, 525 U.S. 432, 438 (1999). "The Supreme Court has instructed us to 'presume that a legislature says in a statute what it means and means in a statute what it says there. . . . When the

words of a statute are unambiguous, then this first canon is also the last: "judicial inquiry is complete."'" *Connecticut Nat'l Bank v. Germain*, 503 U.S. 249, 253 (1992).

To evaluate section 362(a)(3), its plain language must first be evaluated. Section 362(a)(3) states that: "a petition filed under section 301, 302, or 303 of this title . . . operates as a stay, applicable to all entities, of . . . any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate . . .." 11 U.S.C. § 362(a)(3) (2016). First, the section informs that it applies to a petition filed under section 301, 302, or 303 of the Bankruptcy Code. Sections 301, 302, and 303 deal with voluntary cases, joint cases, and involuntarily cases, respectively. 11 U.S.C § 301 (2016); 11 U.S.C § 302 (2016); 11 U.S.C § 303 (2016). In this matter, the debtor filed a petition for a voluntary case under section 301. (R p 6).

Second, the section shows that the petition creates a stay that is applicable to all entities. This shows that the automatic stay began when the debtor filed his petition. Third, the section provides what violates the automatic stay. The stay is violated by any act to obtain property that belongs to the estate, or any act to exercise control of property that belongs to the estate. Property of the estate is defined by section 541 of the Bankruptcy Code; however, the Code does not contain a section that defines any act. *See* 11 U.S.C. § 541 (2016). Because the meaning of act is not defined by any other section in the Bankruptcy Code, and because act is not a term of art, we must determine the plain meaning of act. *Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995). Black's Law Dictionary defines an act as "something done or performed, or the process of doing or performing. *Act*, Black's Law Dictionary (10th ed. 2014).

When considering the meaning of act as defined by Black's Law Dictionary, it is clear that the violation portion of section 362(a) requires that something is done to obtain property of the estate or exercise control over property of the estate. In this matter, Mr. Weinberg legally obtained

the trucks prior to the debtor filing his petition and has merely kept the trucks since. (R p 6). Because Mr. Weinberg is only keeping the truck's he has not done anything to obtain the property or exercise control over the property. When applying the cannons of statutory interpretation to section 362(a)(3) an act must have occurred for the automatic stay to be violated. Without an act, the stay is not violated. Due to his inaction, Mr. Weinberg did not violate the automatic stay. Mr. Weinberg respectfully asks the Court to affirm the decision of the courts below on this matter.

B. A passive act is an improper legal fiction formed due to the improper analysis that there is a general self-effectuating turnover power pursuant to section 542(a).

A passive act is not contemplated by section 362(a)(3) because the section applies to something being done rather than inaction. The idea of a passive act comes from the view that 542(a) provides a self-effectuating turnover power. However, the provisions of the Code must be read together. When that provision is read as part of the entire Bankruptcy Code, the Code informs us that a self-effectuating turnover power does not exist except under particular circumstances.

Section 542(a) of the Bankruptcy Code states that, "an entity . . . in possession, custody, or control . . . of property that the trustee may use, sell, or lease under section 363 . . . shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate." 11 U.S.C § 542(a) (2016). Applying the cannons of statutory interpretation from the previous argument, it first becomes clear that section 542(a) is subject to section 363, because the property being referred to is the property that can be used, sold, or leased under section 363. Next, it is clear that this property must be delivered in some form to the trustee unless the property will not benefit the estate. Read in full, this provision simply requires a creditor to turn over property that the trustee has a right to subject to section 363, unless the

property will not benefit the estate. Because section 542(a) is subject to section 363 we must analyze it as well.

It is undisputed that section 363 authorizes a trustee to use or sell estate property with court approval. 11 U.S.C. § 363 (2016). This provision of section 363 requires the trustee to get court approval to use or sell property of the estate. Next section 363(e) provides that:

> Notwithstanding any other provision of [section 363], at any time, on request of an entity that has an interest in property . . . proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale or lease as is necessary to provide adequate protection of such interest.

11 U.S.C. § 363(e). When applying the cannons of statutory interpretation to this section it is first found that this provision supersedes all other provisions in section 363. Next, the section requires that, when an entity with interest in property requests adequate protections, the court prohibit or condition what the trustee wants to do with the property to provide adequate protection of the creditors interest.

Because of the language of section 542, section 542 is subject to the provisions of section 363. Due to section 542 being subject to section 363, the turnover power of the trustee is subject to the adequate protection provision. This requires the court to prohibit or condition turn over while considering adequate protection for the creditor, and thus means that the turnover power is not automatic, it must be allowed by the court. However, there is an exception to most rules. Despite the plain language of these sections denying a self-effectuating power, this Court has determined one specific factual instance when the turnover power is self-effectuating.

C. The trustee cannot compel Mr. Weinberg to turn over the trucks to the estate because the trustee did not pursue a turnover action pursuant to section 542(a).

To show the proper application of these sections and highlight the exception to the general rule, it is informative to compare this matter to *Inslaw*, and *Whiting*. *United States v. Inslaw Inc.*, 932 F.2d 1467 (D.C. Cir. 1991); *United States v. Whiting Pools, Inc.*, 462 U.S. 198 (1983). In *Inslaw*, the Department of Justice (DOJ) entered into a contract with Inslaw, Inc (Inslaw) for computer software to be installed on the DOJ's computers. *Inslaw*, 932 F.3d at 1468-69. Inslaw installed enhanced versions of the software at some DOJ locations, and due to the DOJ's concerns about Inslaw's financial viability the DOJ request copies of the enhanced versions of the software. *Id*. Inslaw reluctantly agreed and handed over the enhanced versions of the software. *Id*. After the contract price was nearly fulfilled and the contract expired, Inslaw filed a petition for reorganization under Chapter 11 of the Bankruptcy Code. *Id*. at 1470. The DOJ continued to use the property that it had bought pursuant to the contract and Inslaw filed a complaint which included that the DOJ was violating the automatic stay due to their continued use of the software. *Id*. However, Inslaw never pursued a turnover action. The court held that the automatic stay was not violated by the DOJ. *Id*. at 1471.

The court applied the plain meaning of section 362(a) and first determined that Inslaw held no possessory interest. *Id*. at 1472. This was determined because the DOJ held possession of the property under a claim of ownership. *Id*. They further determined that the stay was not violated because the title was in dispute, due to DOJ having possession and a claim of ownership, and because Inslaw never sought possession of the property under the turnover provisions. *Id*. at 1472-74. The last component of the court's conclusion was that the court determined that the automatic stay only applies to acts taken after the petition is filed due to the clear statutory language of section 362(a). *Id*. at 1474.

In *Inslaw* and the current matter, the debtor had a contract with a party (creditor) for a piece of property. *Inslaw*, 932 F.3d at 1468-69; (R p 4). Further, the creditor in both situations obtained the property in question after concerns about the debtor's financial viability. *Inslaw*, 932 F.3d at 1468-69; (R p 6). Moreover, in both cases the property was legally obtained by the creditor before the debtor filed for bankruptcy. *Inslaw*, 932 F.3d at 1470; (R p 6). Finally, Inslaw did not pursue a turnover action, and neither did the trustee in the current matter. *Inslaw* is analogous to the current matter due to their similar factual circumstances and applicable law.

When applying the *Inslaw* analysis to this matter the first task is to determine the plain meaning of section 362(a) of the Bankruptcy Code. This analysis is set out in the previous section of the argument. Next, we must determine if the debtor held a possessory interest in the trucks. The debtor did not hold a possessory interest in the trucks because Mr. Weinberg repossessed the trucks. (R p 6). Pursuant to the *Inslaw* analysis, by the creditor having possession of the property and the debtor not having possession, the title to the property is in dispute. Furthermore, by the possession occurring prior to the debtor filing for bankruptcy an act never occurred.

Thus, the property being in the creditor's possession does not violate the automatic stay. This is also the case in the current matter because the repossession of the truck took place before the debtor filed for bankruptcy. (R p 6). The only way the property could be property of the estate would be via the turnover provision; however, the trustee cannot use this provision in the current matter because, as in *Inslaw*, he pursued a violation of the automatic stay due to passive acts rather than pursuing an entry of an order by the court to turn over the property.

The *Inslaw* case is an exemplary example of when the plain meaning of sections 362(a) and 542(a) are applied without a turnover action being sought. Conversely, the *Whiting* case is a prime example of these section being applied when a turnover action has been sought and the self-

effectuating exception occurs. In *Whiting*, the debtor owned a business that owed approximately $92,000 in Federal Insurance Contribution Act taxes and federal taxes withheld from its employees that it failed to pay to the Internal Revenue Service (IRS). *Whiting*, 462 U.S. at 199-200. Due to this a tax lien attached to all of the debtor's property. *Id*. at 200. The IRS seized the debtor's tangible personal property, and the debtor filed a petition for reorganization, under Chapter 11 of the Bankruptcy Code. *Id*. The debtor-in-possession then moved for an order requiring the IRS to turn the seized property over to the bankruptcy estate pursuant to section 542(a) of the Bankruptcy Code. *Id*. at 201. This Court held that property of the debtor that has been seized by a creditor prior to the filing of a petition for reorganization is part of the estate. *Id*. at 209.

This Court reached this decision by looking at the legislative intent of congress. This Court concluded that Congress intended that all property must be included in the reorganization of an estate. *Id*. at 203-4. Including all the property protects the interests of the estate as well as still allows a creditor to seek protection. *Id*. This Court also decided that Congress intended a broad range of property to be included in the estate, and thus the adequate protection section 363(e) should be looked to for creditors seeking protection rather than possession. *Id*. at 205-8. Again, the reasoning by this Court was that broad protection should be afforded to the property of the estate, and the creditor can still seek adequate protection. *Id*.

In *Whiting* and the current matter, the creditor took property before the debtor filed bankruptcy that the creditor legally had a right to. *Whiting*, 462 U.S. at 200; (R p 6). Further, in both matters, the debtor initially filed a petition for reorganization under Chapter 11. *Whiting*, 462 U.S. at 200; (R p 6). However, in the current matter the debtor's bankruptcy case was converted to Chapter 7. (R p 7). Additionally, in *Whiting*, the debtor-in-possession moved for an order requiring the IRS to turn the seized property over to the bankruptcy estate pursuant to section

542(a) of the Bankruptcy Code. *Whiting*, 462 U.S. at 201. Conversely, the trustee in the current matter did not move for an order requiring turnover pursuant to section 542(a). Due to these differences, *Whiting* is distinguishable from the current matter.

When we apply the *Whiting* analysis, we first must determine if a reorganization of the estate is occurring. In the current matter, the debtor's estate is not being reorganized because his bankruptcy case has been converted to a Chapter 7 case. Because this case is not a case of reorganization, Congress's intent for all property to be part of the of estate is not applicable to this case. Furthermore, the adequate protection provided by section 363(e) is not applicable here because, unlike in *Whiting*, the trustee in the current matter did not seek an order requiring turnover pursuant to section 542(a). Because the trustee did not seek the order requiring turnover, the trucks cannot be reclaimed by the estate, and because the trucks cannot be reclaimed by the estate Mr. Weinberg cannot seek relief from the automatic stay, seek adequate protection, or raise any defense as to why the property should not be turned over. Thus, the trustee has not followed the proper procedure and the creditor cannot seek any protection. Due to this, under the *Whiting* analysis, the intent of Congress for creditors to have protections in exchange for all property being part of the estate cannot be met.

Applying the rules from *Inslaw* and *Whiting* provides the proper analysis for determining whether the automatic stay pursuant to 362(a) has been violated due to an act violating the turnover provision of section 542(a) by applying the plain meaning of sections 362(a), 542(a), and 363(e), and by providing the exception found in *Whiting* based on legislative intent. First, it must be determined whether the debtor has a possessory interest in the property. If the debtor does have a possessory interest in the property the debtor is likely in possession of the property, and thus, any

act to obtain the property or control the property violates the automatic stay. If the debtor does not have a possessory interest, the analysis continues to the second step.

Second, it must be determined if the creditor took possession of the property before the debtor filed the bankruptcy case. If the creditor took possession of the property after the debtor filed the bankruptcy case, the creditor violated the automatic stay. When the creditor took possession of the property before the bankruptcy case, the analysis continues to the third step. Third, it must be determined if the trustee, or debtor-in-possession, sought an order for the property to be turned over pursuant to section 542(a). If the debtor-in-possession or trustee sought an order for the property to be turned over, the property must be turned over to the estate pursuant to the order, if it was not the automatic stay has been violated. If an order requiring turnover was not sought, the automatic stay has not been violated, and the stay can only be violated if the turnover is self-effectuating due to step four being satisfied. Step four and five represent the exception found in *Whiting*.

Fourth, it must be determined that a reorganization of the estate is occurring. If a reorganization of the estate is not occurring, the turnover is not self-effectuating, and because of this, the automatic stay has not been violated and step five does not need to be analyzed. If a reorganization of the estate is occurring, the turnover action is self-effectuating, and the automatic stay has been violated if step five is satisfied. Fifth it must be determined that the creditor can seek adequate protection, relief from the automatic stay, or present defenses as to why the property should remain with the creditor. If the creditor cannot seek adequate protection, relief from the automatic stay, or present defenses as to why the property should remain with the creditor, the automatic stay has not been violated. If the creditor can seek these protections, the automatic stay has been violated.

By applying this analysis to this case, the plain meaning of each section is applied based on the principles of statutory interpretation while honoring the known legislative intent presented by *Whiting*. First, the debtor does not have a possessory interest in the trucks because the creditor repossessed the trucks. (R p 6). Because of this, the analysis continues to the second step. Second, the repossession occurred before the debtor filed bankruptcy. (R p 6). Thus, the analysis continues to the third step because thus far the automatic stay has not been violated. Third, the trustee did not seek an order for the property do be turned over pursuant to section 542(a). Because the trustee did not pursue an order for the property to be turned over pursuant to the section 542(a), step four must be satisfied for the turnover action to be self-effectuating, and for the automatic stay to have potentially been violated.

Fourth, a reorganization of the estate is not occurring in the current matter because the debtor converted the bankruptcy case from a Chapter 11 case to a Chapter 7 case. (R pp 6-7). Because the case was converted, a reorganization is no longer being sought, thus a reorganization is not occurring. Due to the reorganization of the estate not occurring, the turnover action is not self-effectuating, and thus the automatic stay has not been violated. Because step four was not met, step five does not apply to this matter because the automatic stay has not been violated.

By this Court finding that this is the proper analysis, the plain meaning of the sections are properly applied, and a narrow exception is created to ensure legislative intent and public policy are satisfied. In applying a pure statutory cannons analysis or the *Inslaw* and *Whiting* hybrid analysis, Mr. Weinberg has not violated the automatic stay by keeping the trucks he legally repossessed. Mr. Weinberg respectfully asks that the court find he did not violate the automatic stay.

II. THE COURT IS PERMITTED TO GRANT SUBSTANTIAL CONTRIBUTION ADMINISTRATIVE EXPENSES UNDER CHAPTER 7.

The issue presented in this case revolves around the language in the code that does not explicitly state substantial contribution administrative expenses in chapter 7 Bankruptcy cases. Section 503(b) of the United States Bankruptcy Code provides a non-exclusive list of certain categories of expenses that must be allowed as administrative expenses. The essence of the non-exclusive list is indicated by the placing of the word "including" in section 503(b), which states that "After notice and a hearing, there shall be allowed, administrative expenses...including…" 11 U.S.C. § 503(b). One the items listed in section 503(b) relates to attempts by creditors who make a substantial contribution to a bankruptcy case. In particular, section 503(b)(3)(D) permits an administrative expense for "the actual, necessary expenses...incurred by… a creditor...in creating a substantial contribution in case under chapter 9 or 11 of this title."

In the present matter, the parties stipulate that Weinberg made a substantial contribution to the bankruptcy estate. T. pp. 8. Although the parties stipulate this fact, the debtor and the trustee argue on whether the court is able to grant an administrative expense for the substantial contribution Weinberg made while the debtor was under chapter 7. Recently, the Sixth Circuit has answered that question in the affirmative by adopting an expanding, totality of the circumstances view. In *Connolly*, three creditors removed a bankruptcy trustee for misfeasance under Chapter 7 of the Bankruptcy Code. The *Mediofactoring v. McDermott* (*In re Connolly N. Am., LLC*), 802 F.3d 810 (6th Cir. 2015). The new trustee under for the Chapter 7 case later commenced an action against the former trustee. *Id.* Because the new trustee filed an adversary proceeding against the former trustee, they reached a settlement that substantially increased the amount of funds available for the section 541(a) bankruptcy estate. *Id.* The United States Bankruptcy Court for the Eastern District of Michigan denied two of the creditors from receiving reimbursement of administrative

expenses. *Id.* The court held that section 503(b) does not permit such reimbursement in a Chapter 7 case. *Id.* After a thorough review, the Sixth Circuit reversed the decision and centered its reasoning behind the term "including" and the essence of equity to hold that the itemized list of administrative expenses are not all-encompassing. *Id* at 823. Because section 503(b) is not exhaustive, a Bankruptcy Court is permitted to award a substantial contribution administrative expense in a chapter 7 case. *Id* at 814.

The present matter is analogous to *Connolly* because both matters center around whether the court could grant an administrative expense for a substantial contribution in a chapter 7 case. In *Connolly*, the creditors removed a bankruptcy trustee for misfeasance and later, a settlement was reached that substantially increased the amount of funds in the debtor's estate under chapter 7. *Id.* at 813. In the present matter, Weinberg made a substantial contribution to the Bankruptcy estate by discovering fraudulent transfers by the Debtor. T. pp. 7. Without Weinberg efforts to find the fraudulent transfers, the estate would have less money than it had before the investigation. Weinberg increased the estate's value and helped the debtor become better liquidated. It would be unfair not to award a creditor who substantially contributed to the estate. If the Court did not award Weinberg an administrative expense, then they would be punishing him for being an helpful creditor. Because the Sixth Circuit held that a Bankruptcy Court is permitted to grant an administrative expense for a substantial contribution to a creditor under a chapter 7 case based on the totality of the circumstances approach, this Court should follow its reasoning. Lower courts have followed the analysis set out by the Sixth Circuit. In *In re Maqsoudi*, the bankruptcy court grant a substantial contribution claim in a chapter 7 case to a creditor who gave important assistance to the trustee in the retrieval of assets. *In re Maqsoudi*, 566 B.R. 40 (Bankr. C.D. Cal. 2017).

Furthermore, in interpreting Section 503(b), Congress use of the term "including" in the beginning lines demonstrates that they a created a mechanism into the subsection that permits courts to reimburse expenses not specifically mentioned in section 503(b)'s subsections. The term must be reviewed closely. *Hibbs v. Winn,* 542 U.S. 88, 101 (2004). The court should not look at the term "including" in isolation. *Id.* at 101. When assessing the term, the court should follow "the cardinal rule that statutory language must be read in context since a phrase gathers meaning from the words around it." "A statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant…" *Id.* The insertion of the term shows that the intention to not prove an all-encompassing lists of allowable expenses. It is apparent that Congress foresaw that bankruptcy courts would experience a variety of administrative expenses and situations sanctioning reimbursement. The Bankruptcy Code states in section 102(3) that the words "includes" and "including" are not limiting. 11 U.S.C. § 102(3).

Section 503(b)(3)(D) does not explicitly prevent a bankruptcy court from exercising its authority to give a substantial contribution administrative expense in chapter 7 cases relying on the beginning language in section 503(b). There is no mention in subsection that does allow for an administrative expense to be granted. If Congress had the intention to restrict courts from awarding a substantial contribution administrative expense in chapter 7 cases, then they would have done so. The language would have explicitly limited the granting of administrative expenses to only chapters 9 and 11 cases. However, there does exist a plausible rationale on why section 503(b)(3)(D) speaks specifically to cases under chapters 9 and 11. The court in *Connolly* reasoned that

> It makes good sense that in providing these examples, Congress would expressly mention Chapters 9 and 11 in the context of creditor activity making a "substantial contribution," but not Chapter 7. In both Chapters 9 and 11, as a matter of course, a creditor will spend its own time and resources to benefit the estate; however, in

> all but the most atypical Chapter 7 case (such as the instant case), the U.S. trustee fulfills this role.

In re Connolly, 802 F.3d at 817. This interpretation on why Congress mentioned chapters 9 and 11 is fair because in these cases, creditors are more involved and make substantial contributions to maximize the estate than in chapter 7. Trustees in chapter 7 cases play more of a fiduciary role. However, in chapters 9 and 11, the debtor typically stays in possession of the entire estate.

Lastly, bankruptcy courts are courts of equity. *Bank of Marin v. England*, 385 U.S. 99, 103 (1966). The Supreme Court has recognized on numerous occasions that bankruptcy courts' proceedings are inherently proceedings in equity. *Local Loan Co. v. Hunt*, 292 U.S. 234, 240 (1934). The authority of bankruptcy courts are not unlimited; however, their holdings are "unimpeachable" if they exercise within the parameters of the Bankruptcy Code. *In re Connolly N. Am., LLC*, 802 F.3d at 814. As mentioned earlier, the facts stipulate that Weinberg made a substantial contribution to the chapter 7 estate. T. pp. 7. The actions by Weinberg increased the estate of the Debtor, thus enhancing every creditors reward after liquidation. If the Court does grant an administrative expense, then it would be an injustice to creditors similar to Weiberg. If the Court does not affirm the decision, it could deter future creditors from participating in chapter 7 cases.

CONCLUSION

In applying a pure statutory cannons analysis or the *Inslaw* and *Whiting* hybrid analysis, Mr. Weinberg has not violated the automatic stay by keeping the trucks he legally repossessed. Mr. Weinberg respectfully asks that the court find he did not violate the automatic stay.

Section 503(b) should not be construed strictly because it prohibits creditors like Weinberg from obtaining an administrative expense. Congress using the term "including" to allow Bankruptcy courts to award creditors to be granted an administrative expense for their substantial contribution. The Court should rely on principles of equity because creditors that benefit the estate under Chapter 7 cases should be awarded an administrative expenses if they substantially contributed to it. If the Court does not allow it, then it would be a great injustice for creditors like Weinberg. For the reasons stated above, this Court should affirm the decision below.